Economics Mock

Paper 1 Answers and Brief Solutions

Answers

1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
B	C	B	A	D	C	B	B	D	A	A	C	D	A	C
16	**17**	**18**	**19**	**20**	**21**	**22**	**23**	**24**	**25**	**26**	**27**	**28**	**29**	**30**
D	B	C	C	D	A	A	C	D	D	B	C	A	C	B
31	**32**	**33**	**34**	**35**	**36**	**37**	**38**	**39**	**40**	**41**	**42**	**43**	**44**	**45**
A	D	B	B	B	D	B	A	B	D	C	C	D	A	B

Brief Solutions

1. B Clear private property rights give residents an incentive to maintain the plots and reduce overuse of a commonly owned resource; the need to allocate by lot shows the land is still scarce. Answer: (1) and (2) only.

2. C (1) concerns how to produce; (2) and (3) change what goods or services are produced. Answer: (2) and (3) only.

3. B The $100 deposit is a sunk cost. The highest-valued option forgone is the café job ($420; tutoring nets only $390). Opportunity cost = $200 + $420 = $620. Answer: B.

4. A The MC curve shifts up, so the firm cuts output until MC = P again. As P is unchanged, the MC of the last unit is unchanged. Answer: A.

5. D MP = 12, 18, 15, 11, 6, so diminishing marginal returns begin with the third worker. AP = 12, 15, 15, 14, 12.4 and only falls with the fourth worker. Machines are fixed (short run), so scale economies do not apply. Answer: D.

6. C A rent allowance lowers the cost of moving to work in another area, raising geographical mobility; retraining raises occupational mobility. Answer: C.

7. B Bondholders are creditors and are repaid before shareholders in a winding-up; shareholders have limited liability, so their loss is limited to what they paid for their shares and their personal assets are not used to repay company debts. Answer: (1) and (3) only.

8. B Aerial filming and repair are services (tertiary); assembling drones is secondary production. Answer: (1) and (3) only.

9. D A merger of firms at the same stage of production in the same line of business is horizontal integration, mainly to enjoy economies of scale such as bulk purchase discounts. Answer: D.

10. A MC = 12, 8, 10, 14, 18, so produce 3 units; TR \$39 exceeds TVC \$30, so keep producing; loss = 45 − 39 = \$6 (vs \$15 if shut down). Answer: A.

11. A LED supply rises: its price falls and quantity rises; demand for the substitute (traditional bulbs) falls, so its equilibrium price falls. Answer: A.

12. C At \$40, May buys 3 boxes (CS \$85) and Keung buys 5 (CS \$54). At \$50, May's CS is \$60 (down \$25) and Keung's is \$17 (down \$37). Answer: (2) and (3) only.

13. D Supply shifts left to S1 and demand shifts right to D1, so the new equilibrium is Z. Answer: D.

14. A New equilibrium: \$42 and 560 units (up 60); the last unit has MC \$54 > MB \$42; consumers' total expenditure falls from \$24 000 to \$23 520. Answer: (1) and (2) only.

15. C Labour demand and supply both shift left: employment must fall, the wage rate is uncertain. Answer: C.

16. D The \$25 ceiling is binding, so 400 units are transacted (quantity supplied). Quantity demanded is 400 at \$45. Answer: D.

17. B S is the midpoint of the linear demand curve, so elasticity = 1. From \$100 to \$60 total expenditure rises (elastic); from \$60 to \$30 it falls (inelastic); elasticity is 5 at R and 1/3 at T. Answer: B.

18. C Both are price searchers and may advertise to raise demand; mutual interdependence is unique to oligopoly. Answer: (1) and (3) only.

19. C Richest 20% share = 100% − 55% = 45%; poorest 20% = 5%; 45/5 = 9 times. Answer: C.

20. D (1) and (3) equalise opportunities; (2) is a direct income transfer (equalising income). Answer: (1) and (3) only.

21. A Consumer surplus falls; with the government buying the surplus, producers sell Qs at Pf, so producer surplus rises; consumer expenditure depends on demand elasticity. Answer: (1) and (2) only.

22. A With a vertical supply curve, a rise in demand raises price only; the same quantity sells at a higher price, so producer surplus rises. Answer: A.

23. C Real GDP: 2 400 → 2 333.3; per capita: 320 → 315.3 (thousand); change ≈ −1.5%. Answer: C.

24. D Employed: 3 744 000 → 3 665 200, a fall of 78 800. Answer: D.

25. D Unsold output produced locally this year counts as an increase in inventories. Answer: D.

26. B Value added: roaster \$600 + dairy \$100 + café \$600 = \$1 300; wages and rent are factor incomes, not intermediate consumption. Answer: B.

27. C Lower wealth reduces consumption at every price level, shifting AD left. Answer: C.

28. A Paid in cash: public cash falls by \$50 million while bank reserves and deposits are unaffected, so money supply falls by \$50 million. Answer: A.

29. C (1) and (2) are correct; deposit-taking companies cannot operate savings accounts. Answer: (1) and (2) only.

30. B (1) and (2) are correct; a commodity money can still be a standard of deferred payment. Answer: (1) and (2) only.

31. A Once held by a bank, the NCD drops out of M2 and M3, while demand deposits rise by HK\$300 000. M1 rises by HK\$300 000; M2 and M3 are unchanged. Answer: (1) and (2) only.

32. D (1) follows from nominal = real + expected inflation; (2) with expected deflation the nominal rate is below the real rate; (3) the real rate is negative when inflation exceeds the nominal rate. Answer: (1) and (3) only.

33. B Money demand shifts right and money supply shifts left, so the new equilibrium is X. Answer: B.

34. B The average tax rate rises with income (5% at $200 000, 7.5% at $400 000), so the tax is progressive; the marginal rate stays at 10%. Answer: B.

35. B Excess reserves and cash leakage both make actual deposit creation fall short of the maximum; deposits moving to another bank stay within the banking system. Answer: (1) and (2) only.

36. D When the average tax rate is constant, the marginal tax rate equals it. Answer: D.

37. B (1) and (2) arise even with anticipated inflation; (3) occurs only with unanticipated inflation. Answer: (1) and (2) only.

38. A AD and SRAS both shift left, so the short-run equilibrium is W. Answer: A.

39. B Deflator = nominal GDP ÷ real GDP × 100; above 100 means nominal exceeds real. Answer: B.

40. D Government purchases add directly to AD; a transfer works only through household consumption and part is saved, so its initial impact is smaller. Answer: D.

41. C Expenditure/GDP: 24.4% → 22.1% → 20.0%, falling every year; the revenue ratio fell in 2024-25; the deficit ratio fell. Answer: C.

42. C B exports X. B needs $1/t + 0.15 < 3$, i.e. $t > 0.351$; A needs $t < 0.625$. Only 0.50 fits. Answer: C.

43. D Consumers lose a+b+c, of which a goes to producers; deadweight loss = b + c. Answer: D.

44. A Accommodation → current account (services); loan → financial account; donation → current account (current transfer). Answer: (1) and (2) only.

45. B Day 1: HK$2 340; Day 2: HK$2 184; change ≈ −6.67%. Answer: B.